

arbitration provision. The RISC is an agreement Plaintiffs entered into with Dealership. As the dealership and a party to the agreement, Dealership may compel arbitration of Plaintiffs' claims.

The court does not reach Dealership's arguments about lack of waiver and lack of unconscionability. Plaintiffs forfeited any argument about waiver and unconscionability by not addressing Dealership's arguments on those points.

C. THIS ACTION IS STAYED IN ITS ENTIRETY

Dealership requests a stay of the entire action. As Dealership notes, Plaintiffs have sued two entities, Ford Motor Company and Dealership, for different causes of action. Dealership argues "[p]roceeding against both defendants in separate forums carries an extremely high risk of rendering inconsistent rulings and rendering arbitration as to [Dealership] ineffective." (Reply at p. 8:22-24). Plaintiffs have not offered any arguments opposing a stay to the entire action. A stay of these proceedings is proper under Code of Civil Procedure § 1281.4 and 9 U.S.C. § 3. The court STAYS this action in its entirety pending the outcome of arbitration.

IV. CONCLUSION

Based on the foregoing, the petition to compel arbitration is GRANTED. This action is STAYED in its entirety pending the outcome of arbitration.

The Court will prepare the formal Order.

Calendar Lines # 6

Case Name Jaron Toilolo vs Wei-Chen Chen et al

Case No. 25CV474904

Demurrer

Before the court is defendants Wei-Chih Chen and Yield Engineering Systems, Inc.'s Demurrer to First Amended Complaint. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows.

I. BACKGROUND

On September 16, 2023, plaintiff Jaron Julius Toilolo ("Plaintiff") was stopped at a red light on Brokaw Road waiting to make a left turn on to Zanker Road. (First Amended Complaint ("FAC"), ¶6). When the light turned green, Plaintiff proceeded to make a left turn when defendant Wei-Chih Chen ("Chen"), driving at a high rate of speed, suddenly ran the red light at the intersection and struck Plaintiff's vehicle on the driver's side. (*Id.*) Plaintiff sustained serious injuries, property damage to his vehicle, and wage loss due to this accident. (FAC, ¶¶8 – 10).

On or about May 22, 2025, Plaintiff and defendant Chen entered into a written settlement agreement relating to the accident of September 16, 2023, whereby, in exchange for a payment of \$15,000 from the insurer of the rental vehicle defendant Chen was driving, Plaintiff released defendant and other parties from all liability for the accident. (FAC, ¶12 and Exh. A). At the time of signing the release, Plaintiff was ignorant of the existence of any other insurance policy covering defendant and believed the \$15,000 policy provided by the car rental company to defendant was the only insurance policy covering defendant that was available to Plaintiff. (FAC, ¶13). Plaintiff intended to file a claim for underinsured motorist benefits under his own automobile insurance policy. (*Id.*)

Thereafter, on July 11, 2025, Plaintiff discovered defendant Chen had valid liability coverage through Travelers Insurance. (FAC, ¶14). Had Plaintiff known this fact, he would not have signed the release. (*Id.*) Plaintiff's signature on the release was the result of Plaintiff's unilateral mistake of fact. (*Id.*) Defendant Chen knew of or suspected the

above-described mistake at the time of execution of the written release in that defendant Chen knew he had an insurance policy with Travelers Insurance which might provide coverage for Plaintiff's damages. (FAC, ¶15).

On September 11, 2025, Plaintiff filed a complaint against defendant Chen asserting causes of action for:

- (1) Negligence
- (2) Rescission of Release

On October 24, 2025, Plaintiff filed the now operative FAC which continues to assert the same two causes of action.

On November 26, 2025, Plaintiff filed a Doe amendment substituting defendant Yield Engineering Systems, Inc. ("YESI") for a Doe defendant. The FAC alleges defendant Chen was acting within the scope of agency and/ or employment of defendant YESI. (FAC, ¶1).

On March 16, 2026, defendants Chen and YESI filed the motion now before the court, a demurrer to Plaintiff's FAC.

II. LEGAL STANDARD

Pursuant to Code of Civil Procedure section 430.10, a party may demur to a complaint on the grounds that it "does not state facts sufficient to constitute a cause of action." (Code Civ. Proc., § 430.10, subd. (e)). A demurrer tests whether the complaint states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747 (*Hahn*)). When considering demurrers, courts accept all well pleaded facts as true. (*Fox v. JAMDAT Mobile, Inc.* (2010) 185 Cal.App.4th 1068, 1078). In ruling on a demurrer, the Court treats it "as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318 (*Blank*)).

"A general demurrer will lie where the complaint 'has included allegations that clearly disclose some defense or bar to recovery.' [Citation.]" (*Cryolife, Inc. v. Superior Court* (2003) 110 Cal.App.4th 1145, 1152). Defendants Chen and YESI generally demur to Plaintiff's first cause of action for negligence because the FAC includes allegations that Plaintiff released defendant Chen and other parties from all liability for the accident. (FAC, ¶12 and Exh. A). "The existence of a valid release is a complete defense to a tort action against the releasee." (*Rodriguez v. Oto* (2013) 212 Cal.App.4th 1020, 1026 (*Rodriguez*)).

Where the complaint's allegations or judicially noticeable facts reveal the existence of an affirmative defense, the "plaintiff must 'plead around' the defense, by alleging specific facts that would avoid the apparent defense. Absent such allegations, the complaint is subject to demurrer for failure to state a cause of action" (*Gentry v. eBay, Inc.* (2002) 99 Cal.App.4th 816, 824).

III. ANALYSIS

In the FAC, Plaintiff attempts to plead around the release by alleging, as his second cause of action, a basis for rescission of the release. Defendants Chen and YESI contend, however, that Plaintiff has not sufficiently stated a claim for rescission, at least not against the moving defendants because they are not parties to the release agreement despite the FAC's allegation that "Plaintiff and Defendant Chen entered into a written settlement agreement and release of all claims." (See FAC, ¶12). Moving defendants direct the court's attention to the copy of the release agreement attached to the FAC noting that the release agreement is signed only by Plaintiff and his attorney.⁴ Defendants Chen and YESI are not signatories to the release agreement. That moving defendants are not parties to the release agreement can further be inferred from Plaintiff's allegation that the \$15,000 Plaintiff received in consideration for the release was paid by "the insurer of the rental automobile that defendant [Chen] was driving;"

⁴ "[F]acts contained in the exhibit take precedence over and supersede any inconsistent or contrary allegations in the pleading." (*Nealy v. County of Orange* (2020) 54 Cal.App.5th 594, 597).

Plaintiff's allegation that "the \$15,000 policy [was] provided by the car rental company;" and the release agreement's identification of "SIXT RENT-A-CAR LLC" and "EMPIRE FIRE AND MARINE INSURANCE COMPANY" as the first two releasees. (See FAC, ¶¶12 and 13 and Exh. A).

By seeking to enforce the release agreement and citing to *Rodriguez, supra*, 212 Cal.App.4th 1020, it is clear defendants Chen and YESI recognize they are third party beneficiaries of the release agreement, even if they are not one of the contracting parties thereto.

The governing substantive principle is that a nonparty who claims benefits under the contract is entitled to do so as long as the claimed benefit does not flow to him as a mere *incident* of the agreement, but is one the contracting parties *intended* to confer. (Rest.2d Contracts, § 302; see Civ. Code, § 1559 [contract "made expressly for the benefit" of third person "may be enforced by him at any time before the parties thereto rescind it"])(*Rodriguez, supra*, 212 Cal.App.4th at p. 1028).

Here, defendants Chen and YESI seek to enforce the release as third party beneficiaries of the release agreement and, as *Rodriguez* states, moving defendants may do so "at any time before the parties [to the release agreement] rescind it." (See also Civ. Code, §1559—"A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it.") In opposition, Plaintiff claims to be ignorant of the identity of the other contracting part(ies) to the release agreement. The court would presume the other named releasees identified above, but will leave it to Plaintiff to make that determination.

Plaintiff also suggests a release agreement need only be signed by the releasor. However, "Release agreements are governed by the generally applicable law of contracts." (*Neverkovec v. Fredericks* (1999) 74 Cal.App.4th 337, 348). And, "It is essential to the existence of a contract that there should be parties capable of contracting." (Civ. Code, §1550). Consequently, the court will agree with moving defendants that Plaintiff has not properly stated a cause of action for rescission directed at the moving defendants.

Moving defendants argue, additionally, that although rescission may be based upon a unilateral mistake, such unilateral mistake must be accompanied by a shared misunderstanding or the other contracting party must contribute to the mistake by misrepresentation, even if innocently. (Civ. Code, §1689, subd. (b)(1); *Crocker-Anglo Nat'l Bank v. Kuchman* (1964) 224 Cal.App.2d 490, 496 – 497). Plaintiff, at paragraph 15 of the FAC, has alleged defendant Chen "knew of or suspected [Plaintiff's mistake as defendant Chen] knew that he had an insurance policy with Travelers Insurance which might provide coverage for Plaintiff's damages."

Plaintiff, in opposition, cites the full relevant text of Civil Code section 1689, subdivision (b)(1), which states:

A party to a contract may rescind the contract in the following cases:

(1) If the consent of the party rescinding, or of any party jointly contracting with him, was given by mistake, or obtained through duress, menace, fraud, or undue influence, exercised by or with the connivance ***of the party as to whom he rescinds, or of any other party to the contract*** jointly interested with such party. (Emphasis added).

As discussed above, defendant Chen is not a party to the release agreement but rather an intended third party beneficiary. To obtain rescission, Plaintiff must allege that his unilateral mistake was induced by or known to a contracting party, not a third party beneficiary.

As to the moving defendants' last argument that Plaintiff has not restored "to the other party everything of value which he has received from him under the contract," as is required to effect a rescission pursuant to Civil Code section 1691, the court agrees with Plaintiff that Civil Code section 1691 gives a rescinding party the option of

“offer[ing] to restore” the consideration received and allows “the service of a pleading in an action or proceeding that seeks relief based on rescission [to] be deemed to be such notice [of rescission] or offer [to restore] or both.”

IV. CONCLUSION

Based on the foregoing, defendants Chen and YESI’s demurrer to Plaintiff’s FAC on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)] is SUSTAINED with 10 days’ leave to amend. The Court will prepare the formal Order.

Calendar Lines # 7

Case Name Farmers Insurance Exchange vs Nathaniel Villareal

Case No. 25CV477397

Motion to Compel Production of Documents & Sanctions

I. BACKGROUND

This underinsured motorist case stems from a September 12, 2022, motor-vehicle incident that occurred in Santa Clara County between the plaintiff Nathaniel Villarreal and Omar Gonzalez.

Before this court is the defendant/respondent Farmers Insurance Exchange (“Farmers Insurance”) motion to compel responses to request for production of documents (“RFPD”), set one, numbers 1-19 and sanctions against the plaintiff/claimant Nathaniel Villareal. The motion was filed on February 27, 2026 that was accompanied by a proof of service via electronic service on that same day.

No opposition papers were filed. Per Code of Civil Procedure section 1005(b) opposition papers were due on June 9, 2026. A failure to oppose a motion may be deemed a consent to the granting of the motion. California Rule of Court Rule 8.54c. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c)). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 489).

The Court has carefully reviewed the following: Defendant’s motion to compel response to RFPD, set one and sanctions, including the defendant’s notice of motion, memorandum of points and authorities, Declaration of Claudia Lozano and attached Exhibits 1-11 (totaling 72 pages), proof of services, and the pleadings.

II. LEGAL STANDARD

Pursuant to Code of Civil Procedure section § 2031.310, subdivision a: “On receipt of a response to a demand for inspection, copying, testing, or sampling, the demanding party may move for an order compelling further response to the demand if the demanding party deems that . . . [a] statement of compliance with the demand is incomplete[;] . . . [a] representation of inability to comply is inadequate, incomplete, or evasive[; or] . . . [a]n objection in the response is without merit or too general.”

A. TIMELINESS

Code of Civil Procedure section 2031.310, subdivision (c) provides that a motion to compel further responses to requests for production must be brought within forty-five days of service of the verified response, supplemental verified response, or on a date to which the propounding and responding parties have agreed to in writing; otherwise, the propounding party waives the right to compel further responses. (Code Civ. Proc., § 2031.310, subd. (c); but see *Golf & Tennis Pro Shop, Inc. v. Superior Court* (2022) 84 Cal.App.5th 127, 134-136 [suggesting that the 45-day deadline does not apply to (*i.e.*, it does not begin to run with service of) objections-only responses; it only applies to responses that are required to be verified]).